

SENATE BILL 1465

By Lowe

AN ACT to amend Tennessee Code Annotated, Title 67,
Chapter 6, relative to the taxation of labor
performed on tangible personal property.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 67-6-102(87)(A)(ii), is amended by deleting the language "labor or service cost,".

SECTION 2. Tennessee Code Annotated, Section 67-6-102(87)(A), is amended by deleting subdivision (v) and renumbering the subsequent subdivision accordingly.

SECTION 3. Tennessee Code Annotated, Section 67-6-102(87)(B), is amended by adding the following as a new subdivision:

(v) Labor and service costs, including repair and installation labor charges, that are separately stated on an invoice or similar billing document given to the purchaser;

SECTION 4. Tennessee Code Annotated, Section 67-6-205(c), is amended by deleting subdivisions (4) and (6) and renumbering the remaining subdivisions accordingly.

SECTION 5. Tennessee Code Annotated, Section 67-6-203, is amended by deleting subsection (d).

SECTION 6. For the purpose of promulgating rules, this act takes effect upon becoming a law, the public welfare requiring it. For all other purposes, this act takes effect July 1, 2026, the public welfare requiring it.